Bank of Leeds Strategic Investment Proposal

Middlesbrough SkyRail Development Programme

A Suspended Monorail, Urban Regeneration and Property Investment Strategy

Prepared for:
Bank of Leeds
Infrastructure, Property & Regional Development Division

Investment Classification:
Urban Transport • Commercial Property • Regeneration • Infrastructure Finance

Proposed Investment Vehicle:

Tees Valley Urban Development Corporation (TVUDC)

Indicative Investment

£650 million

Investment Horizon

25 years

Executive Summary

The Bank of Leeds proposes the development of **Middlesbrough SkyRail**, Britain's first modern suspended urban railway inspired by the historic **Wuppertal Schwebebahn** in Germany.

Rather than treating the railway as a transport project alone, the proposal treats it as a **property-led regeneration programme**, where transport infrastructure drives increases in commercial land values, office development, retail investment and housing construction.

The investment strategy is based upon three linked assets:

- transport infrastructure;
- commercial property development;
- long-term land appreciation.

Research on rail investments consistently shows that improved transport accessibility can increase surrounding land values, creating opportunities to capture part of that uplift through redevelopment and land assembly.

Strategic Vision

The objective is simple:

> **Transform Middlesbrough into Britain's first "SkyRail City".**

Rather than buses moving through congestion, a suspended railway would operate above the main road network.

The railway itself becomes:

- transport,
- tourist attraction,
- regeneration catalyst,
- commercial investment.

Why Middlesbrough?

Middlesbrough possesses characteristics suited to an elevated system:

- broad arterial roads,
- substantial brownfield regeneration sites,
- Tees waterfront redevelopment,
- university campus,
- railway station,
- football stadium,
- town centre retail.

Unlike underground rail, an elevated suspended railway requires relatively modest land acquisition because its guideway is carried on columns above existing corridors. The century-old suspended railway in Wuppertal demonstrates how this technology can operate in constrained urban environments with a comparatively small physical footprint.

Proposed Network

Phase One

Approximately **11 km**

Stations:

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Middlesbrough Station

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Town Centre

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University

↓

Riverside Stadium

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Tees Docklands

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Middlesbrough College

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James Cook Hospital
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Phase Two

Extensions towards:

- Stockton
- Teesworks employment zone
- Riverside commercial district

Capital Investment Programme

Total Investment

£650 million

Investment	Cost
Suspended railway infrastructure	£260m
Stations	£80m
Rolling stock	£60m
Depot & maintenance	£30m
Land acquisition	£70m
Commercial property investment	£100m
Public realm improvements	£25m

Investment	Cost
Contingency	£25m

Infrastructure Costs

The proposed cost reflects a fully elevated urban system with multiple stations.

Recent European cost benchmarks suggest elevated rail systems commonly fall within a broad range of around **€20–25 million per kilometre** before allowing for stations, rolling stock and urban complexity, although actual costs vary significantly by design and location.

Journey Time Improvements

Route	Current	SkyRail
Railway Station → University	15 min	5 min
Railway Station → Riverside Stadium	20 min	7 min
Station → James Cook Hospital	25–30 min	10–12 min
Town Centre → Tees Docklands	18 min	6 min

Average journey time reduction:

50–65%

Property Investment Strategy

The railway itself is only one asset.

The greater investment opportunity lies in the land surrounding stations.

Station Development Zones

Each station becomes a mixed-use development area.

Investment radius:

Approximately 400–600 metres.

Typical developments:

- apartments,
- offices,
- hotels,
- cafés,

- supermarkets,
- medical facilities,
- student accommodation.

Commercial Property Portfolio

Bank of Leeds Property Fund

Investment

£100 million

Acquire sites before construction.

Develop:

Asset	Quantity
Apartment buildings	8
Office buildings	5
Retail units	40
Hotels	2
Student housing	2

Land Value Growth

Evidence from UK light-rail schemes indicates that accessibility improvements can generate measurable land value uplift, particularly where redevelopment opportunities exist and land assembly occurs before construction.

Conservative assumptions:

Current commercial land:

£600,000/hectare

Projected after completion:

£900,000–£1.1 million/hectare

Estimated appreciation:

40–80% in key regeneration areas.

Property Development Returns

Bank investment:

£100 million

Estimated completed development value:

£175 million

Potential capital gain:

£75 million

Rental income:

Approximately

£10–12 million annually

Passenger Forecast

Opening Year

5 million passenger journeys

Year 10

8 million passenger journeys

Average fare

£2.80

Annual fare revenue

Approximately

£22 million

Additional income:

- advertising,
- station retail,
- commercial leases.

Total transport-related revenue:

Approximately

£30 million annually

Wider Economic Benefits

Employment

Construction:

Approximately 4,000 job-years

Permanent operations:

600 jobs

Commercial developments:

1,500 jobs

Hospitality and retail:

900 jobs

Total:

Approximately 3,000 permanent jobs

Regeneration Impact

Expected outcomes include:

- redevelopment of brownfield land,
- higher-density housing around stations,
- new office accommodation,
- improved investor confidence,
- increased business formation.

Estimated additional private-sector investment catalysed over 15 years:

£800 million–£1.2 billion

Financial Structure

Middlesbrough SkyRail Bond

Initial issue:

£500 million

Supporting equity:

£150 million

Funding Sources

Source	Amount
Bank of Leeds	£250m
Pension funds	£150m
Property investors	£100m
Local authority & development partners	£150m

Financial Returns

Revenue Stream	Annual Revenue
Passenger fares	£22m
Commercial property rents	£11m
Retail leases	£6m
Advertising	£3m
Parking & ancillary services	£2m

Total Annual Revenue

Approximately £44 million

Estimated operating costs:

£24 million

Estimated operating surplus:

£20 million per annum

Strategic Recommendation

The Bank of Leeds should treat the Middlesbrough SkyRail as a **transport-led regeneration programme**, not simply a public transport investment.

The railway should be paired with a dedicated property investment fund that acquires strategic sites before construction, allowing the Bank to participate directly in the land value uplift generated by improved accessibility.

Investment Thesis

The experience of landmark elevated systems such as Wuppertal demonstrates that distinctive urban transport can become both an everyday mobility solution and a defining feature of a city's identity.

For Middlesbrough, the greatest long-term return is unlikely to come from fare revenue alone. It is expected to come from:

- appreciation in commercial land values,
- redevelopment of brownfield sites,
- higher business occupancy,
- new residential neighbourhoods,
- and increased private investment around station districts.

Under this model, the SkyRail becomes the backbone of a wider regeneration strategy, with transport infrastructure acting as the catalyst for a new generation of urban development across Teesside.